

CHAPTER 1

WORLD'S FIRST INDEX FUND

Never trust the experts.

—John F. Kennedy

INDEX FUNDS ARE WELL KNOWN today. Many think John McQuown and Bill Fouse at Wells Fargo (which became Barclays Global Investors) started the first index fund in 1971 when they invested in every New York Stock Exchange (NYSE) stock for the Samsonite pension fund. However, that is not correct. Let me tell you how it really happened.¹

I discovered the real first index fund during a chance meeting I had while working at Smith Barney & Co. in 1976. At that time Smith Barney was a prestigious investment banking and institutional brokerage firm similar to Goldman Sachs, Salomon Brothers, and First Boston. Along with the rest of the Street at that time, Smith Barney wanted more of a retail distribution network, so they had recently acquired Harris Upham, a retail-oriented wirehouse. As is usual after these kinds of acquisitions, Smith Barney let go the redundant operations of Harris Upham. However, Harris Upham had one of the best over-the-counter (OTC) departments in the business, headed up by Bob Topol, who was in charge of all their OTC activity.